MECHANICS BANK v TWISTED OAK WINERY, LLC

25CV47803

PLAINTIFF'S MOTION FOR APPOINTMENT OF A RECEIVER

Plaintiff Mechanics Bank ("Plaintiff") brings this action for judicial foreclosure and appointment of a receiver of a 120-acre 4 vineyard and winery located at 4280 Red Hill Access Road and 4002 Red Hill Access Road, 5 Vallecito, CA 95251 ("Real Property") against Defendant Twisted Oak Winery, LLC ("Twisted Oak".) The Complaint was filed on January 6, 2025. Defendant has not made any appearance.

Now before the Court is Plaintiff's request for a receiver, to which Defendant has not filed any opposition.

I. Background

On or about October 18, 2004, Plaintiff and the Stai Family Trust entered into a Business Loan Agreement ("BLA")(Complaint ¶ 9, Ex. A.) On that same day, Jeff Stai and Mary Stai, as trustees of the Stai Family Trust, executed and delivered to Plaintiff a Promissory Note ("Note")(Complaint ¶ 10, Ex. B.) The Note evidenced a loan from Plaintiff to the Stai Family Trust ("Borrower") in the principal amount of $2,546,000 ("Loan") which required Borrower to make payments to Plaintiff every month until October 18, 2033. (Complaint ¶ 10.)

The Note is guaranteed by Twisted Oak, and is secured by a Deed of Trust made by Twisted Oak in favor of Plaintiff, dated October 29, 2024 ("Deed of Trust") (Complaint ¶ 11, Ex. C.) The Deed of Trust irrevocably grants to Plaintiff, in trust, with power of sale, all of the Real Property, including any buildings, improvements, fixtures, water rights, and mineral, oil and gas rights. (*Id.*) Plaintiff also received the right to title and interest in all present and future leases ("Property"). The Deed of Trust also imposed an affirmative duty on Twisted Oak to maintain, protect and preserve the Property and prevent nuisance. (*Id*.) In the event of foreclosure, the Deed of Trust also gave Plaintiff the right to have a received appointed. (*Id.,* p. 6.)

In or about August 2013, the parties entered into a Change in Terms Agreement which deferred outstanding interest and changed the interest rate applicable to the Loan but all other terms remained in place. (Complaint ¶ 23-24.)

On or about October 24, 2021, Twisted Oak filed for Chapter 11 bankruptcy. (Complaint ¶ 25.) As part of the bankruptcy plan, ("Plan"), the Loan was to be paid in full with interest at 5.75% per annum on 25 years amortization with a January 1, 2033 maturity date; interest and principal payments of $11,948.88 per month commencing October 1, 2022 and continuing for 123 months; and a balloon payment for the remaining balance due January 1, 2033. (*Ibid*.) However, Plaintiff alleges that Borrower failed to make the payment that was due under the Note on March 1, 2024, or any payment that came due thereafter. (Complaint ¶ 26.)

Plaintiff recorded Notice of Default in Calaveras County on May 13, 2024, to initiate non-judicial foreclosure. However, Plaintiff then learned it would be unable to procure appropriate policies of insurance post-foreclosure. (Complaint ¶ 29.) On or about October 2024, Twisted Oak abandoned the Property. (Complaint ¶ 30.) Plaintiff has been made aware that the water to the Property may be turned off which will cause a significant risk of fire danger and further that once the water meters are removed, there is no guarantee they can be reinstalled. (Complaint ¶ 30.)

II. Legal Analysis

California law authorizes the appointment of a receiver in any pending case which it is necessary to preserve the property or rights of any party. (Code Civ. Proc. § 564, subds. (a)-(b).) Pursuant to subsection (b)(9), the Court may appoint a receiver in cases "where necessary to preserve the property or rights of any party." Further, where the parties have contractually agreed to the appointment of a receiver as part of the loan or contract, this provides evidentiary weight in favor of appointing a receiver. (*Barclays Bank of California v. Superior Court* (1977) 69 Cal.App.3d, 599-600.)

Here, the Plaintiff has provided evidence that the Property is currently at risk of destruction or devaluation because it has been abandoned and may lose its source of water. (Declaration of Jeffrey B. Kirschenbaum ("Kirschenbaum Decl.") Ex A.) The various agreements between he parties contemplated that in the event of default (as has happened here) the Plaintiff would be able to seek appointment of a receiver to protect the Property and assets. The Court finds that under these circumstances, the appointment of a receiver is proper and necessary in order to preserve and protect the Property during the pendency of this litigation.

Plaintiff requests that the Court appoint Peter F. Martin as receiver. Mr. Martin avers that he is not a party to the action and has not interest in its outcome. (Declaration of Peter F. Martin ("Martin Decl.") ¶ 2.) He avers that he has over 35 years of experience in the real estate industry and as acted as a state court receiver since 1995. (*Id.* ¶ ¶ 3, 4.) He further avers that he has acted as a receiver in most northern California counties and for many different types of properties. (*Id*. ¶ ¶ 3-5.) Mr. Martin avers that he charges $250 per hour and plans to hire BLR Asset Management ("BLR") to assist in the property management and BLR charges $550.00 per month. (*Id.* ¶ ¶ 7, 8.)

Based on the foregoing, the Court **GRANTS** Plaintiff's Motion for Appointment of Peter F. Martin as receiver and approves his involvement of BLR to assist in management of the property.

The parties will be charged equally for the receiver's fees and costs. The Court finds that the costs and fees charged by Mr. Martin and BLR are reasonable on their face and in keeping with that typically charged in this County for such services. The Court retains jurisdiction for any motion contesting the reasonableness and appropriateness of the fees and costs of either Mr. Martin or BLR.

The Court finds under the totality of the circumstances that a bond is waived.

The Clerk shall provide notice of this Ruling to the parties forthwith. The Court intends to sign the submitted Order.